

Comparative Development: India, China, Pakistan

- All three countries began economic development around the same time.
- India & Pakistan gained independence in 1947.
- China became independent in 1949.
- Nations form economic groupings (SAARC, EU, ASEAN, G-8, G-20, BRICS) to strengthen economies.
- **Cold War:** 1947-1991, geopolitical tension between Soviet Union & US.

China's Economic Journey

- World's most populous country (approx. 1.428 billion in 2017).
- Established as People's Republic of China on Oct 1, 1949.
- After 1949, critical economic sectors, enterprises, and land were government-controlled.

Great Leap Forward (GLF) Campaign (1958)

- **Aim:** Modernize China's economy, transform agrarian economy into modern industrial one.
- Encouraged people to set up industries in backyards.
- Communes started in rural areas (collective cultivation).
- Resulted in 30-55 million deaths due to starvation, execution, etc.
- **Four Pest Campaign (1958):** Disrupted the food chain, leading to mass hunger.

Great Proletarian Cultural Revolution (1966-1976)

- Introduced by Mao.
- **Aim:** Weed out opponents of communist ideology.
- Students and professionals sent to countryside to work and learn.
- Russia withdrew its professionals from China during conflicts.

Reforms Introduced in China (1978 onwards)

- **Initial Phase:** Agriculture, foreign trade, investment.
 - Commune lands divided into small plots, allocated (not owned) to households.
 - Households kept income after paying taxes.
- **Later Phase:** Industrial sector.
 - Private sector firms, Township and Village Enterprises (TVEs) allowed.
 - State Owned Enterprises (SOEs) faced competition.
- **Dual Pricing:**
 - Government-fixed prices for certain input/output quantities.
 - Market prices for other transactions.
- **Special Economic Zones (SEZs):** Set up to attract foreign investors.

Pakistan's Economic Journey

- Gained independence on Aug 14, 1947.
- **1971 Civil War:** Led to independence of Bangladesh.
- **Economic System:** Mixed economy (public & private sectors).
- **Early 1970s:** Nationalization of capital goods industries.
- **Late 1970s:** Shift to denationalization, encouraged private sector.
- Received financial support from Western nations and remittances from emigrants.
- **Green Revolution:** Increased food grain production, changed agrarian structure.

1971 War Impact

- Estimated 300,000 to 3,000,000 civilian deaths in Bangladesh.
- Approx. 400,000 women raped.
- One crore people fled to India as refugees.

Comparative Study: India, China, Pakistan

- Evaluated using demographic indicators, GDP, sectoral contributions, and Human Development Indicators.

Purchasing Power Parity (PPP)

- Economic theory comparing purchasing power of currencies.
- Theoretical exchange rate allowing same goods/services purchase in every country.
- World Bank uses PPP for comparisons (e.g., US-India \$1 = ₹23.14 in 2021).

Human Development Index (HDI)

- Statistic compiled by United Nations to measure social and economic development.
- **Four Factors:**
 1. Mean years of schooling
 2. Expected years of schooling
 3. Life expectancy at birth
 4. Gross National Income (GNI) per capita
- Norway often ranks highest.

Liberty Indicators

- Represent degree of civil and political freedom for individuals.
- Examples: Democratic participation, constitutional protection of judiciary, rule of law.
- Important for a complete understanding of human development.

Developmental Paths & Outcomes

- For decades, all three maintained low development levels.
- The last three decades showed varied results.

India

- Moderate economic performance.
- Majority still depend on agriculture.

- Infrastructure lacking in many parts.
- Challenges in raising living standards for population below poverty line.

Pakistan

- Political instability.
- Over-dependence on remittances and foreign aid.
- Volatile agriculture sector.
- Hopes to improve with higher GDP growth rates.

China

- Concerns about lack of political freedom and human rights.
- Used "market system without losing political commitment" to achieve high growth and poverty alleviation.
- Retained collective land